

Destruction of Premises

What happens when a leased unit is destroyed or significantly damaged? Leases generally answer that question, and in turn, they specify the following:

- The tenant's responsibility to promptly notify the landlord of any condition that's resulted in damage to the unit
- Remedy in the event of total destruction of the leased premises
- Return of advanced rent payments and security deposits

If the lease doesn't state who's responsible for damage, the tenant is generally not held responsible, and is released from contractual obligations when the property is made uninhabitable by accidental destruction. For instance, if a tenant living above a unit left the bath water running, flooding the lower unit, and making it uninhabitable, the tenant in the lower unit could not be held to the terms of the lease.

Obviously both the tenant and landlord would be responsible for their own negligence, and the tenant would be responsible for negligence of any of the tenant's guests on the property.

Leases should also provide for restrictions to continuous occupancy. So if continued occupancy is possible, the tenant could occupy the portion of the leased unit that is usable, with a commensurate rent reduction until the unit is fully restored.

When the lease must be terminated due to destruction of the premises, the tenant's security deposit and prepaid rent must be repaid.